and sellers (B2B). The country's laws also stipulate that in marketplace models, e-commerce entities cannot 'directly or indirectly influence the sale price of goods or services' and must maintain a 'level playing field'. Entities in the marketplace model are allowed to transact with sellers registered on their platform on a B2B basis. However, each seller or its group company is not permitted to sell more than 25 per cent of the total sales of the marketplace model entity.

Goyal said certain structures have been created to suit large e-commerce players with "deep pockets". Algorithms have been used to drive consumer choice and preference. For instance, several pharmacies have disappeared, he said, and a few large chains are dominating the retail space. He invoked the importance of platforms like the Open Network for Digital Commerce where small businesses can sell their products.

E-commerce firms counter the argument on predatory pricing. "It is the sellers' discretion as to what price they should sell at," says an industry source. The e-commerce player who provides the platform seldom has a role in it, he explains. "Sellers could be doing clearance sales or liquidation of old products at cheaper prices. Some sellers also source products at manufacturing cost and park it with e-commerce firms instead of involving warehousing agents. This helps cut their overhead costs and allows them to offer lower prices on the platform," he adds.

Some experts are of the view that the government should not step in with controls and allow the market forces to play their role in determining prices. Price controls may lead to shortages, inferior product quality and the rise of illegal markets. Moreover, the Competition Commission of India (CCI), which is mandated to act against monopolies, may be given more teeth. It is ironical that, on the one hand, the Centre wants more FDI to flow in, but places more and more controls on foreign players on the other hand. At the core are the interests of small traders and retailers, a key section of the electorate.

Others argue that the government has a role to ensure that there is fair competition. "It is not just small retailers the government would be speaking for, but for large domestic players too," says Devangshu Dutta, founder of consultancy firm Third Eyesight, emphasising that the government's role should be to establish laws and practices that promote fairness. According to him, it is no secret that e-commerce has grown through discounts. "For large e-commerce firms, market acquisition happens by acquiring a share of the consumer's mind and through pricing. When a large sum is spent on advertisements, it is for acquiring the mind share of the consumer," he says. "Pricing matters in a big way too. Whether you call it predatory pricing or market acquisition pricing depends on which side of the fence you are." ■

## THE E-TAIL BOOM

**$820 BN (₹69 lakh cr.)**
Size of India's retail market in FY23

**$83 BN (₹7 lakh cr.)**
Size of India's e-commerce market in FY22

**$150 BN (₹12.6 lakh cr.)**
Expected size of e-commerce market by FY26

**Growth levers for e-commerce:** A growing middle class, rising internet penetration, the proliferation of smartphones and the increasing digitisation of payments through UPI

**By Ajay Sukumaran**

It's open season for Chief Minister Siddaramaiah in Karnataka, with Opposition parties BJP and Janata Dal (Secular) pushing for his ouster over an alleged 'land scam'. Meanwhile, a combative Congress has closed ranks in a bid to deflect what is the ruling party's first serious difficulty since it came to power in May 2023.

Both sides ran campaigns in early August that saw bitter rivalries spill out in the open. But what shook Siddaramaiah was the August 16 decision by Karnataka governor Thaawar Chand Gehlot giving sanction to petitions to investigate and initiate prosecution proceedings against the CM on allegations of irregularities in the Mysore Urban Development Authority (MUDA).

Siddaramaiah moved the Karnataka High Court on August 19 with a plea to declare the governor's order 'illegal and *ab initio* void'. The CM's petition, which the court will take up on August 29, contends that the sanction order was issued disregarding the advice given by the council of ministers on the matter. It also added that the standard procedures for sanction, under Section 17A of the Prevention of Corruption Act, 1988, had been overlooked.

Gehlot's decision had come on petitions by activists T.J. Abraham and Snehamayi Krishna, and Pradeep Kumar, president of the JD(S) legal cell. They relate to irregularities in MUDA plot allotments, specifically 14 housing plots in Mysuru's upscale localities of Vijayanagara 3rd and 4th stages to Siddaramaiah's wife, Parvathi, in 2021. Citing a 2004 Supreme Court ruling (*Madhya Pradesh Police Establishment vs State of Madhya Pradesh*) to explain his stand, Gehlot noted that he was "prima facie satisfied that the allegations and the supporting materials disclose commission of offences".

The allegations against Siddaramaiah span a three-decade timeline of a 3.16 acre plot of farmland that had originally been